

Table A: Personal allowances and deductions

	Year of assessment	
	2021/22	2022/23
Personal allowances	HK\$	HK\$
Basic	132,000	132,000
Married person's	264,000	264,000
Single parent	132,000	132,000
Child		
1 st to 9 th child (each)	120,000	120,000
Additional allowance in the year of birth (each)	120,000	120,000
Dependent parent/ grandparent (aged 60 or above or is eligible to claim an allowance under the Government's Disability Allowance Scheme)		
Basic	50,000	50,000
Additional (for dependant residing with taxpayer continuously throughout the whole year)	50,000	50,000
Dependent parent/ grandparent (aged 55 – 59)		
Basic	25,000	25,000
Additional (for dependant residing with taxpayer continuously throughout the whole year)	25,000	25,000
Dependent brother/ sister	37,500	37,500
Personal disability	75,000	75,000
Disabled dependant	75,000	75,000
Deductions/ Concessionary deductions		
Self-education expenses	100,000	100,000
Home loan interest	100,000	100,000
Elderly residential care expenses	100,000	100,000
Mandatory contributions to recognised retirement schemes	18,000	18,000
Qualifying premiums paid under voluntary health insurance scheme policy	8,000	8,000
Qualifying annuity premiums & tax deductible MPF voluntary contributions	60,000	60,000
Domestic rents deduction	--	100,000
Approved charitable donations	35%	35%
Depreciation allowances (For all years of assessment in this paper)		
Plant and machinery:	Initial allowance ("I.A.")	60%
	Annual allowance ("A.A.")	Given in question
Industrial building:	I.A.	20%
	A.A.	4%
Commercial building:	A.A.	4%

Table B: Tax rates

Year of assessment			
2021/22*		2022/23^	
Tax rates	%	Tax rates	%
Standard	15.0	Standard	15.0
Progressive		Progressive	
HK\$1 – HK\$50,000	2.0	HK\$1 – HK\$50,000	2.0
HK\$50,001 – HK\$100,000	6.0	HK\$50,001 – HK\$100,000	6.0
HK\$100,001 – HK\$150,000	10.0	HK\$100,001 – HK\$150,000	10.0
HK\$150,001 – HK\$200,000	14.0	HK\$150,001 – HK\$200,000	14.0
Above HK\$200,000	17.0	Above HK\$200,000	17.0
Corporation profits tax rates	16.5	Corporation profits tax rates	16.5
Two-tiered profits tax rates		Two-tiered profits tax rates	
First HK\$2 million assessable profits		First HK\$2 million assessable profits	
Unincorporated businesses	7.5	Unincorporated businesses	7.5
Corporations	8.25	Corporations	8.25
Over HK\$2 million assessable profits		Over HK\$2 million assessable profits	
Unincorporated businesses	15.0	Unincorporated businesses	15.0
Corporations	16.5	Corporations	16.5

*100% of the final tax payable under profits tax, salaries tax and tax under personal assessment would be waived, subject to a ceiling of HK\$10,000 per case.

^100% of the final tax payable under profits tax, salaries tax and tax under personal assessment would be waived, subject to a ceiling of HK\$6,000 per case.

Table C: Stamp duty rates

Conveyance and Agreement for sale		
Ad Valorem Duty (marginal reliefs ignored)	Scale 1	Scale 2
Not exceeding HK\$2,000,000	1.5%	HK\$100
HK\$2,000,001 to HK\$3,000,000	3%	1.5%
HK\$3,000,001 to HK\$4,000,000	4.5%	2.25%
HK\$4,000,001 to HK\$6,000,000	6%	3%
HK\$6,000,001 to HK\$20,000,000	7.5%	3.75%
Exceeding HK\$20,000,000	8.5%	4.25%
From 5 November 2016		
For residential property		15%
(unless specifically exempted or provided otherwise)		
Special Stamp Duty		
Holding period		
Not exceeding 6 months		20%
More than 6 months but equal to or less than 12 months		15%
More than 12 months but equal to or less than 36 months		10%
Buyer's Stamp Duty		15%
Lease		
Rent only:		
Not exceeding 1 year		0.25%
Not exceeding 3 years		0.5%
Exceeding 3 years		1%
Premium and rent:		
Premium part		4.25%
Rent part	same as rent only lease	
Hong Kong Stock Transfer		
Contract notes	0.2% (Before 1 August 2021)	
	0.26% (With effect from 1 August 2021)	
Instrument of transfer		HK\$5

Table D: Abbreviation

CIR	Commissioner of Inland Revenue
DIPN	Departmental Interpretation and Practice Notes
IRD	Inland Revenue Department
IRO	Inland Revenue Ordinance

SECTION B – WRITTEN QUESTIONS (Total: 80 marks)

Answer **ALL** questions in this section. Marks are indicated at the end of each question. Together they are worth 80% of the total marks for this examination.

Question 1 (26 marks – approximately 48 minutes)

AT Limited ("the Company") is incorporated and carrying on a plastic products business in Hong Kong. Paul is the director of the Company. The Company has no connected entity carrying on business in Hong Kong. The plastic products are manufactured by the Company's wholly owned subsidiary, AR Limited ("AR"), in mainland China. The Company sold the raw materials for manufacturing plastic products to AR, and after production the Company purchased the finished products from AR. The Company's customers are located in Hong Kong and Germany. The sales contracts are effected in Hong Kong.

The Company prepares its accounts to 31 December each year. The detailed statement of comprehensive income for the year ended 31 December 2022 is as follows:

	<u>HK\$</u>	<u>HK\$</u>
Gross trading profit		22,418,000
Interest income (Note 1)		40,000
Profit on sale of patent (Note 2)		450,000
		<u>22,908,000</u>
Less: Expenses		
Auditor's remuneration (Note 3)	140,000	
Director's remuneration	1,500,000	
Salaries & allowances	7,100,000	
Contributions to Mandatory Provident Fund ("MPF")		
scheme (Note 4)	1,050,000	
Rent & rates for office	980,000	
Interest (Note 5)	150,000	
Loan to a customer written off	70,000	
Royalties (Note 6)	2,000,000	
Research & development expenditure (Note 7)	3,500,000	
Refurbishment on office premises (Note 8)	900,000	
Motor vehicles expenses (Note 9)	405,000	
Donations (Note 10)	320,000	
Depreciation	110,000	
Sundry expenses (all allowable)	420,000	(18,645,000)
Net profit		<u><u>4,263,000</u></u>

Notes:

(1)	Interest received on a US dollar fixed deposit placed with Hong Kong Bank (as mentioned in Note 5)	30,000
	Interest from a customer in Italy on its overdue trade receivable balance	10,000
		<u><u>40,000</u></u>

(2)	Cost of the patent	400,000
	Less: Accumulated amortisation	<u>(350,000)</u>
		50,000
	Less: Sale proceeds	<u>(500,000)</u>
	Profit per statement of comprehensive income	<u><u>(450,000)</u></u>
(3)	Annual audit fee	60,000
	Tax appeals charges	<u>80,000</u>
		<u>140,000</u>
(4)	Special contributions to MPF scheme	400,000
	Annual contributions in respect of Paul (20% on remuneration)	300,000
	Annual contributions on other employees (5% on remuneration)	<u>350,000</u>
		<u>1,050,000</u>
(5)	Interest on loan from Hong Kong Bank. The loan was secured jointly by the Company's fixed deposit (as mentioned in Note 1) and Paul's fixed deposit with equal amount. Paul's interest received from his fixed deposit was not chargeable to profits tax.	
(6)	Royalties were paid for the use of a design owned by B Limited. B Limited is incorporated and carrying on business in Country B and is the parent company of the Company. The design was originally owned by an unrelated company, C Limited in Hong Kong. C Limited sold the design to B Limited and B Limited licenced it to the Company for the use of the design on its products.	
(7)	The research and development expenditure was incurred for the Company's own business. It was accepted that the expenditure is classified as Type B expenditure, a qualifying expenditure, for its in-house qualifying research and development activities.	
(8)	20% of the total refurbishment expenditure was the cost of converting the reception to a new showroom.	
(9)	Fines	15,000
	Car parking charges	350,000
	Repairs	<u>40,000</u>
		<u>405,000</u>
(10)	Cash donations for the Company's annual dinner	20,000
	Donations of television sets to Tung Wah Group of Hospitals	100,000
	Cash donations to Tung Wah Group of Hospitals	<u>200,000</u>
		<u>320,000</u>

Other information:

- (11) The Company incurred decoration expenditure of HK\$1,200,000 when it moved to the current office 5 years ago.
- (12) It was agreed the Company was entitled to depreciation allowance for plant and machinery of HK\$170,000 for the year of assessment 2022/23.

Required:

- (a) Paul wondered whether AT Limited's profits was not chargeable or not fully chargeable to Hong Kong profits tax as the manufacturing was done outside Hong Kong. Analyse the Hong Kong profits tax position in respect of AT Limited regarding the selling of the goods manufactured by AR Limited in mainland China.
(5 marks)
- (b) Assuming AT Limited's profit is fully chargeable to profits tax, compute AT Limited's Hong Kong profits tax liability for the year of assessment 2022/23. Ignore provisional profits tax.
(15 marks)
- (c) Compute the amount of B Limited's assessable profits chargeable to profits tax for the year of assessment 2022/23 and analyse your basis of computation (Note 6).
(2 marks)
- (d) Explain the profits tax treatment in respect of the interest received on a US dollar fixed deposit placed with Hong Kong Bank (Note 1).
(4 marks)

Question 2 (18 marks – approximately 32 minutes)

John was employed by MD Inc. in Country A. During the year ended 31 March 2022, he visited Hong Kong for 120 days for rendering services. Hong Kong salaries tax was paid by MD Inc. for the income attributable to services rendered in Hong Kong. In order to supervise MD Inc.'s business in Asia more effectively, John was seconded and worked in Hong Kong under an employment with ME Limited starting from 1 April 2022. ME Limited is incorporated and carrying on business in Hong Kong. To encourage John to take up the secondment, ME Limited paid John a lump sum of HK\$500,000 on 1 April 2022.

During the year ended 31 March 2023, John worked in the following places:

	No. of days
Hong Kong	300
Thailand	45
Singapore	20
	365

John did not pay any tax in any other countries.

You have been supplied with the following information for the year ended 31 March 2023:

- (1) Salary: HK\$1,800,000
- (2) Bonus: HK\$300,000
- (3) Overseas allowance: HK\$55,000. The allowance was paid to John when he worked outside Hong Kong.
- (4) During the year, ME Limited rented a flat at a monthly rent of HK\$50,000 as John's residence. ME Limited deducted monthly amount of HK\$3,000 as rent for the accommodation. The rateable value of the flat was HK\$440,000.
- (5) During the period from 1 April 2022 to 30 September 2022, ME Limited employed a local worker at a monthly salary of HK\$12,000 to work at John's residence. Starting from 1 October 2022, a foreign domestic helper started working for John at a monthly salary of HK\$5,000. John was asked by ME Limited to sign the contract with the foreign domestic helper and ME Limited agreed to bear the foreign domestic helper's salary and other related expenses. During the year ended 31 March 2023, ME Limited paid HK\$38,000 for such expenses.
- (6) On 1 May 2021, MD Inc. granted John an unconditional option to purchase 100,000 shares of MD Inc. at HK\$10 each within two years. John paid HK\$20,000 for the option on 1 June 2021 and exercised the option to purchase 100,000 shares on 1 July 2022. The market values per share were as follows:

	HK\$
1 May 2021	30.00
1 June 2021	35.00
31 March 2022	38.00
1 July 2022	32.00

Other information:

- (7) Eliza is John's wife and is a housewife. They have two daughters: Janet and Jane. Janet is 4 years old, and Jane was born on 1 October 2022. Eliza, Janet, and Jane are living in Country A during the year.
- (8) During the year, John paid the following:
- | | |
|---|------------|
| (a) Subscription to Country A's professional association related to his employment | HK\$3,000 |
| (b) Cash donations to approved charitable organisations | HK\$20,000 |
| (c) Seminars related to his employment organised by the Hong Kong Institute of Certified Public Accountants (ME Limited refunded HK\$20,000 to him) | HK\$30,000 |
| (d) Mandatory contribution to MPF scheme | HK\$18,000 |
| (e) Qualifying annuity premiums for John himself | HK\$60,000 |

Required:

- (a) **Compute the amount of share option gain chargeable to salaries tax for the year of assessment 2022/23.**
(3 marks)
- (b) **Compute John's salaries tax liability for the year of assessment 2022/23. Ignore provisional salaries tax.**
(11 marks)
- (c) **Analyse the tax treatment of the provision of a local worker and foreign domestic helper to work for John (Note 5).**
(4 marks)

Question 3 (11 marks – approximately 20 minutes)

P Limited ("the Company") is incorporated and carrying on business in Hong Kong. Joe is the Company's director. On 1 December 2022, the Company received a notice of estimated profits tax assessment for the year of assessment 2021/22 dated 29 November 2022. Joe told you that the Company was busily engaged in a new project and failed to file the 2021/22 profits tax return. He said that the Company did not earn the huge amount of profit estimated by the IRD.

Assume today is 15 December 2022. Joe has approached you for advice and wonders whether the Company is required to pay tax as demanded if it has objected against the assessment.

Required:

- (a) Describe the requirements of a valid objection against an assessment and the possible grounds for extension as provided under the IRO.
(8 marks)
- (b) Analyse, with the relevant provisions of the IRO, whether the tax in dispute can be deferred until the settlement of the objection.
(3 marks)

Question 4 (9 marks – approximately 16 minutes)

Mr Johnston sold a commercial property in Central ("the Property") to Mr Howard for a consideration of HK\$20,000,000. The terms of payment are cash of HK\$15,000,000 and 100,000 shares in XYZ Limited, which is a Hong Kong incorporated company. At the date of the agreement of sales and purchase effecting from the sale of the Property, 15 October 2022, the market value of XYZ Limited shares is HK\$200 per share.

Mr Johnston and Mr Howard are Hong Kong permanent residents. They are not related to each other. Mr Johnston acquired the Property back in 1996 from Mrs Hughes, a non-Hong Kong permanent resident.

Required:

With reference to the relevant provisions under the Stamp Duty Ordinance, analyse whether ad valorem stamp duty, special stamp duty and buyer's stamp duty are payable on the agreement for sale and purchase and the transfer of shares, respectively. If so, compute the respective amounts payable.

(9 marks)

Question 5 (9 marks – approximately 16 minutes)

Kent and Karen are Hong Kong permanent residents. Kent is the boyfriend of Karen. They have jointly owned a residential flat ("Property A") in Hong Kong since 2019 and the property was let out under the following terms:

- (1) Lease period: 1 October 2021 to 30 September 2023 (two years)
- (2) Monthly rent: HK\$25,000 payable in advance at the beginning of each month
- (3) Rent-free period: 1 October 2021 to 10 October 2021
- (4) Premium: HK\$36,000 payable on 1 October 2021
- (5) Rates: HK\$2,200 per quarter (after rates concession) payable by owner
- (6) Management fee: HK\$1,400 per month payable by owner

You have also been supplied with the following information regarding Kent for the year ended 31 March 2023:

- (7) Net assessable income: HK\$300,000
- (8) Share of assessable profit from a partnership business in Hong Kong: HK\$50,000
- (9) Agreed loss of his sole-proprietorship business in Hong Kong: (HK\$190,000)
- (10) Kent paid the following during the year:
 - (a) Cash donations to approved charitable organisations: HK\$160,000
 - (b) Elderly residential care expenses in respect of his father aged 66: HK\$120,000
 - (c) Qualifying annuity premium: HK\$80,000
 - (d) Home loan interest of Property B: HK\$100,000
 - (e) Mortgage loan interest in respect of Property A (whole property): HK\$220,000
 - (f) Mandatory contributions to MPF scheme: HK\$15,000

Required:

- (a) **Compute the net assessable value of Property A owned by Kent and Karen for the year of assessment 2022/23.**
(2 marks)
- (b) **Compute the reduced total income of Kent under personal assessment for the year of assessment 2022/23. You are required to specify the amount of Kent's loss to be carried forward under personal assessment (if any).**
(7 marks)

Question 6 (7 marks – approximately 12 minutes)

Sun Limited commenced business in 1969. It prepared its accounts to 31 December annually. It ceased business on 30 September 2022, and there was no successor to the business. You have been supplied with the following information:

- (1) Adjusted profits/ (losses) (before depreciation allowances) for the relevant years:

	HK\$
Year ended 31 December 1974	240,000
Year ended 31 December 1975	360,000
Year ended 31 December 2021	600,000
Period from 1 January 2022 to 30 September 2022	480,000

- (2) The tax written down values of plant & machinery brought forward from the year of assessment 2021/22 are as follows:

20% pool:	HK\$29,000
30% pool:	HK\$22,000

There was no addition of plant & machinery during the period from 1 January 2022 to 30 September 2022. Upon cessation, all the assets were disposed as scrapped except the following:

- (a) An antique painting (A.A.: 20%) with original cost of HK\$50,000 was sold for HK\$70,000.
 - (b) A motor car (A.A.: 30%) with original cost of HK\$420,000 was transferred to Sunny, the director of Sun Limited, free. The car's market value at the time of transfer was HK\$90,000.
- (3) Sun Limited had incurred refurbishment expenditure of HK\$200,000 on its office premises in the year of assessment 2020/21.

Required:

- (a) **Compute the amount of depreciation allowance/ balancing adjustments of plant & machinery available to Sun Limited for the year of assessment 2022/23.**
(2 marks)
- (b) **Compute Sun Limited's assessable profits for the year of assessment 2022/23 (cessation year), specifying the basis period concerned.**
(5 marks)

* * * END OF EXAMINATION PAPER * * *